

ARCULUS PREFERRED INCOME FUND

MONTHLY REPORT – August 2026



Strategy & Objective

The Arculus Preferred Income Fund is a domestic fixed income portfolio invested in Australian government and semi-government bonds, corporate senior and subordinated bonds, issued by Australian corporates, ASX-listed hybrid and debt securities, and cash.

The Fund aims to provide unitholders with returns higher than cash and traditional debt securities over the medium to long term with a target rate of return of the 90-day BBSW rate plus 350bps. The target return is not guaranteed. The return is a combination of income distribution and capital growth.

The Fund does not employ leverage either directly or using derivatives and has no offshore currency, structured credit or leveraged securities. Up to 30% of the Fund can be invested in non-investment grade securities (S&P, Fitch rated below BBB, Moody's rated below Baa3).

The Fund may be appropriate for investors seeking a medium risk investment over a 3 to 5-year period.

ESG

Environmental, Social and Governance issues form part of the risk analysis framework. For further information on Arculus' ESG policies and practices, visit <https://arculus.com.au/environment-social-and-governance/>.

Fund details

DDH Graham Limited (DDH) is the responsible entity of the Fund. As responsible entity, DDH is responsible for the management and administration of the Fund, including the issue of the Fund's Product Disclosure Statement and all other public announcements concerning the Fund.

DDH has appointed GCI Australia Pty Ltd (GCI) ABN 68 140 364 576 as the Fund's outsourced investment manager. Arculus Funds Management Pty Ltd (Arculus), a wholly owned subsidiary and Corporate Authorised Representative of GCI undertakes the investment management activities for the Fund.

APIR Code DDH0001AU
ARSN 108 161 575

Fund availability

This Fund can be accessed by investing directly, or indirectly, using the Wealth02, HUB24, Netwealth, OneVue, Praemium Investment, Ausmaq, BT Panorama, Clearstream and Australian Money Market platforms.

Fees

MER*	0.72%
Buy/Sell Spread	+0.15% / -0.15%
Performance Fees	Nil

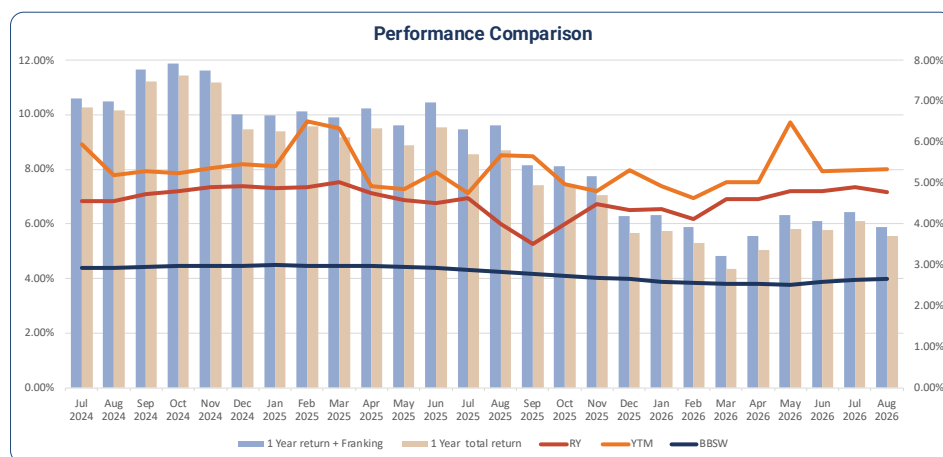
* GST inclusive, net of any reduced input tax credits

Performance to 31 August 2026 *

	3M	6M	1Y	2Y	3Y	5Y	Since Inception
FUND PERFORMANCE							
Fund Total Return (excl. franking credits)	1.24	2.70	3.70	4.74	5.42	3.95	4.52
Franking credit uplift	0.07	0.14	0.22	0.41	0.35	0.29	0.38
Fund Total Return (incl. franking credits)	1.31%	2.84%	3.91%	5.15%	5.77%	4.24%	4.90%
DISTRIBUTION INFORMATION							
Cash Distribution (excl. franking)	1.07	2.26	5.00	5.91	5.91	5.05	5.38
Franking credit uplift	0.07	0.14	0.22	0.41	0.35	0.29	0.38
Distribution return, including the value of franking credits	1.14	2.41	5.22	6.32	6.26	5.34	5.76

The Fund is benchmark unaware, but the target rate of return is the 90-day Bank Bill Swap Rate plus 3.5% before fees.

* Refer to Performance table notes section for further detail.



Source Arculus, DDH Graham Limited data. Past performance is not an indicator of future performance.

Performance is expected to remain in the range bordered by the running yield of 7.18% and the YTM of 7.99%. The net monthly total fund return (excl. franking credits) for the month of August was 27 basis points (bps) with 80% of the return derived from mark to markets gains and not income. This reflects the smaller number of coupon payments in the middle month of each quarter. The return since the end of March annualised, represents 7.04% pa, with an average monthly total fund return (excl. franking credits) of 59bps that is partly franked.

Fund rating

The Fund has been rated **Investment Grade** by Lonsec. Fund ratings are not a recommendation and are subject to change.

Fund size

As of 31 August 2026, the Net Asset Value of the Fund was \$99,900,761.07.



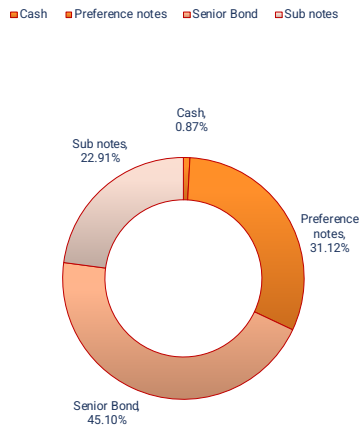
Portfolio characteristics 31 August 2026

Running Yield*	7.18%
Yield to Maturity*	7.99%
Average Margin	3.44%
Average Years to Maturity	2.61
Number of Securities Held	38
Fixed	20.61%
Floating	78.52%
Cash	0.87%
Modified Duration	0.61
Credit Duration	1.64

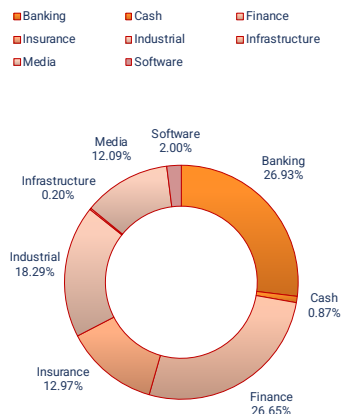
* Based on portfolio metrics (pre fees) at review date. Future fund returns may be different.

Asset breakdown

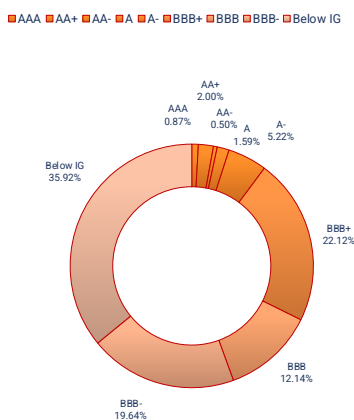
Sub Type Analysis



Sector Allocation



Credit Rating



Fund positioning

August was a month of consolidation rather than repositioning. The number of holdings fell from 48 to 38 as ten smaller lines were retired, and the proceeds were concentrated into fewer, larger positions. Two high grade floating rate lines sit at the long end of the maturity profile and are held at or close to par, being an Alphabet floating rate note paying 3-month BBSW plus 90bps and maturing August 2031, and a Westpac floating rate note paying 3-month BBSW plus 127bps and maturing August 2036. Both carry margins well inside the Fund average and both lift the credit quality of the portfolio while diluting its income run rate. The offsetting move was a lift in the hybrid weight, with preference notes rising to 31.12% of the Fund as senior bond exposure was reduced. The net effect is a portfolio that is slightly longer, slightly higher in credit quality at the top of the ratings distribution, and slightly lower yielding on a current income basis, while the yield to maturity has edged higher. There was no change to the underlying strategy of holding the bulk of the Fund in floating rate credit and running minimal sensitivity to the level of the benchmark yield curve.

Running yield

Running yield fell 15bps from 7.33% to 7.18%. The decline is a composition effect rather than a repricing of the existing book. The two new floating rate lines were added at margins of 90bps and 127bps over 3-month BBSW, well inside the Fund's average margin of 3.44%, and the reduction in the cash weight was not sufficient to offset their dilutive effect on the income run rate.

Yield to maturity

Yield to maturity rose 3bps from 7.96% to 7.99% while the average credit margin was little changed, reducing 1bps from 3.45% to 3.44%. The gap between yield to maturity and running yield widened from 63bps to 81bps, which reflects a larger weight of holdings priced below par that will accrete toward face value over the remaining term. Income earned today is therefore a slightly smaller share of the total expected return than it was a month ago.

Fixed versus floating

Fixed rate exposure rose from 19.05% to 20.61%, and floating rate exposure eased from 79.06% to 78.52%. The 1.6 percentage point increase in fixed rate weight is modest against the 13.41 percentage point reduction recorded in July and leaves the Fund still carrying one of its largest floating rate weights of recent months. The floating rate bias remains the Fund's central structural position.

Duration

Modified duration rose from 0.45 years to 0.61 years, an increase of 0.16 years, partially reversing the 0.64-year reduction taken in July. Credit duration was essentially unchanged at 1.64 years against 1.63 years. The Fund continues to carry very little sensitivity to a parallel shift in the yield curve. Therefore, credit margin risk therefore remains the dominant driver of mark to market variability, as it should be in a portfolio of this construction.

Average years to maturity

Average years to maturity lengthened from 2.25 years to 2.61 years, an increase of 0.36 years, as the two long dated floating rate lines were set against the retirement of shorter holdings. The maturity profile remains front loaded. Some 31.5% of the Fund matures or reaches a call or reset date before the end of the June 2027 quarter and a further 10.4% does so by the end of 2027, which leaves a substantial natural reinvestment window over the next fifteen months.

Credit quality

On a ratings basis, investment grade exposure including cash eased from 64.5% to 64.1% of the Fund and unrated and below investment grade exposure rose from 35.5% to 35.9%. No below investment grade securities were purchased during the month, so the increase is arithmetic and follows the reduction in the cash weight rather than any deliberate move down the credit curve.

The addition of the AA+ rated line (Alphabet, which is expected to be repo-eligible with the RBA) lifted the top of the ratings distribution for the first time in recent months. Within the investment grade block the weight continued to shift through the BBB band, with BBB+ the single largest rated exposure at 22.1% and BBB- at 19.6%. On an asset class basis, investment grade corporate exposure rose from 62.6% to 63.2% and below investment grade corporate exposure from 35.5% to 35.9%, with cash accounting for the balance.

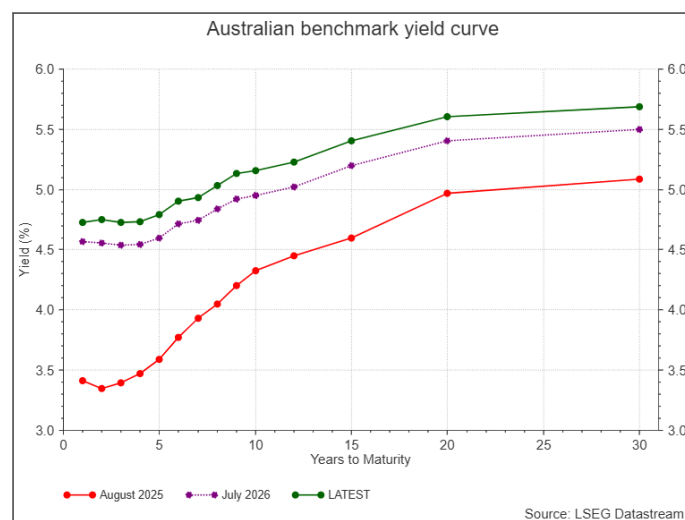
Sector and structure

Preference notes rose from 26.9% to 31.1% of the Fund and subordinated notes from 21.7% to 22.9%, while senior bonds fell from 49.6% to 45.1%. The shift down the capital structure was deliberate and was taken in listed hybrid lines where the reset and call profile is short and the margin on offer compensates for the subordination.

Market review

August was the month that the Australian front end stopped believing the Reserve Bank was finished increasing rates. The Interest Rate Setting Board held unanimously at 4.35% on 11 August and described policy as somewhat restrictive. Fifteen days later the July monthly CPI printed a 0.5% trimmed mean, three-month annualised underlying inflation hit a record 4.7%. The market moved from pricing 12bps of tightening to a fully discounted November hike with roughly half a hike in September.

The rates move was almost perfectly parallel. The three-year Australian Commonwealth Government Bond rose 19bps to 4.68% and the ten-year rose 17bps to 5.10% and has in the early days of September surged over 5.20%. That is a repricing of the policy path, and it argues against reading the August selloff through a fiscal or supply lens even in a month when Commonwealth debt on issue passed one trillion dollars. The move of the yield curve over the past year and the past month can be seen in the following chart.



August divides cleanly into three parts, and the order matters because the credit market made its decisions before the rates market changed its mind.

The first fortnight belonged to policy and to supply. The Board held on 11 August with a Statement on Monetary Policy that forecast inflation back around the midpoint only by late 2027, flagged upside risks, and repeated that the cash rate would rise further if those risks materialised. The Governor described financial conditions as somewhat restrictive. Markets read the hold as the end of the cycle. Into that reading Westpac printed A\$1.5 billion of Tier 2 on 12 August at the second tightest A\$ Tier 2 level on record, ANZ followed with A\$1.75 billion across three tranches on 14 August, and long-end global yields sold off hard in the middle of the month as US thirty-year Treasuries reached their highest level since 2007.

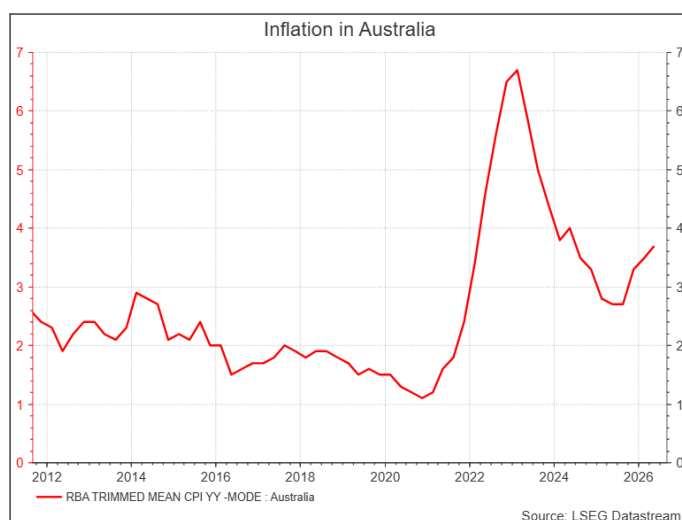
The second phase was the Alphabet transaction on 19 August. A\$5.5 billion across six tranches from an A\$18 billion book, roughly 2.4 times the previous largest domestic corporate deal and the largest order book the market has seen. It was mandated the morning after the second major bank Tier 2 in three days, which was poor timing for the subordinated market and cost three to five basis points on announcement, and it reset the relative value question across the entire investment grade complex.

The third phase started on 25 August, when Bathla Group entered voluntary administration, and completed on 26 August with the July monthly CPI. The RBA minutes were released the same day as the Bathla administration. By the time US Federal Reserve Chairman Warsh spoke at Jackson Hole on the Friday night, the Australian front end had already repriced and closed for the week, leaving Australia to open into an unpriced US shock on 31 August alongside a heavier than usual month-end index extension.

Inflation and the implications

July headline CPI rose 1.0% over the month against an expectation of 0.8 to 0.9%, taking the annual rate down to 3.5% from 3.8%. The trimmed mean rose 0.5% against 0.3% expected and the annual rate stayed at 3.6%. The monthly trimmed mean has printed this high only once before, in July of last year.

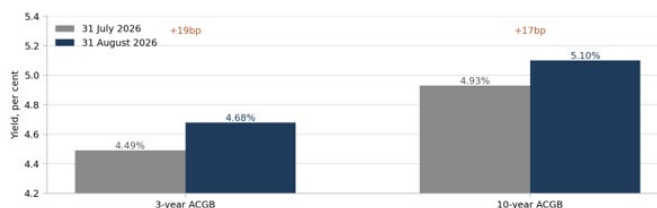
The composition was worse than the headline. Three-month annualised trimmed mean inflation reached 4.7%, the highest in the history of the series. The diffusion measure showed 61% of the basket rising at more than a 3% pace, and more than half of expenditure classes are now running above 3% annualised on one-, three-and six-month bases. The largest upside surprises came from discretionary categories such as restaurant meals and domestic holidays rather than from the energy complex where the Strait of Hormuz disruption is doing its work. That is a demand signal rather than a cost-push signal, and it directly undercuts the softening-activity rationale the Board relied on two weeks earlier. July household spending, up 1.1%, said the same thing.



There is a genuine seasonality caveat. July has produced strong monthly trimmed mean readings for three consecutive years, which suggests the seasonal adjustment process is not fully capturing start of financial year repricing in the shorter expenditure series. One month does not settle the question. The Bank needs an average of 0.8% quarterly across the second half, and this print makes 1.0% for the September quarter more likely than 0.9%.

The curve repriced following the CPI numbers

The three-year rose 19bps and the ten-year rose 17bps. A move of that shape is a repricing of the expected path of the cash rate. It is not a term premium event, not a fiscal event, and not a supply event, notwithstanding that Commonwealth debt on issue passed one trillion dollars during the month and that the AOFM added A\$13 billion of new May 2038 paper. Had the market been pricing a fiscal or duration risk premium, the ten-year would have moved materially more than the three-year, and it did not.



Source Trading Economics and Arculus analysis.

Investment grade secondary held through everything

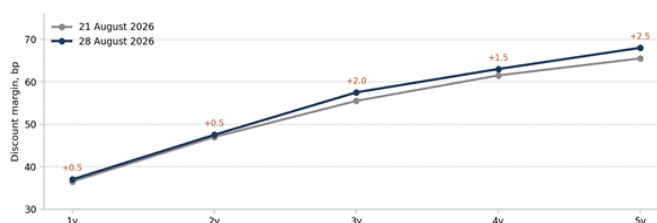


Chart 2. Major bank senior FRN discount margin curve, 21 August against 28 August 2026. Sourced from ANZ closing indicative mids and Arculus analysis.

Intentionally, this chart shows only the move either side of the CPI print rather than a full month move. Over that week the curve moved from 36.5, 47.0, 55.5, 61.5 and 65.5bps at one through five years to approximately 37.0, 47.5, 57.5, 63.0 and 68.0. Tier 2 was one to two basis points wider across the sector over the same window.

The shape carries more information than the level. The credit curve steepened, with roughly 2.5bps of widening at five years against half a basis point at one year. Paper is being recycled out of the very front end into three-year tenors, and the steepness of the three-year point against sub-one-year paper is attracting real attention. This strongly suggests that the market is struggling to absorb new issuance with funds linked to indices having to switch out of shorter dated (lower risk) floating rate notes and into longer dated new issues that are automatically added to the benchmark indices.

Alphabet and what it did to relative value

The Alphabet transaction is the most important pricing event in the A\$ corporate market in a decade, and its significance is not the size but rather what the pricing revealed about where the domestic bid actually sits.

Across the curve the comparison breaks into three regimes. In the three-to-five-year part, investors could pick up roughly 25bps and move two ratings notches higher by switching out of AA- major bank senior at around 65bps into AA+ Alphabet at 90. That is a genuine dislocation, and it sits in senior, not in subordinated. Out to ten years Tier 2 sits 35 to 50bps wide of Alphabet, which is defensible for a two-notch ratings gap plus subordination and extension risk but is not compelling. At twenty years the curves invert, with A\$ Tier 2 bullets trading roughly 25bps inside Alphabet. A subordinated bank instrument trading tighter than an AA+ rated corporate at the long end is not a relationship that should persist.

The fixed tranches tightened through the balance of the month, helped by the rates selloff, and traded eight to ten basis points inside re-offer and briefly through USD levels. The five-year FRN tranche at BBSW plus 90 stayed stuck around re-offer. That divergence is the informative part. The domestic floating rate bid, which is the bid that matters for our funds, did not chase the deal. The fixed rate and offshore relative value bid did.

Tier 2 absorbed the supply

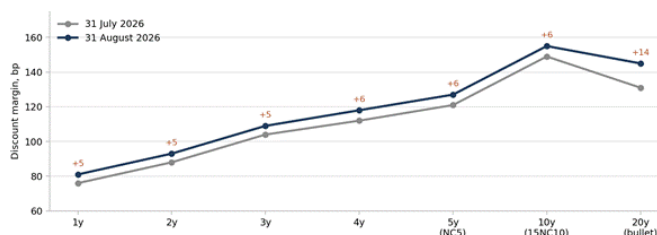


Chart 3. Major bank A\$ Tier 2 secondary mid discount margin, 31 July against 31 August 2026. The tenor axis is categorical and not to scale. Sourced from Westpac Markets secondary marks and Arculus analysis.

The major bank Tier 2 curve widened uniformly across the front and middle of the curve. The one-, two- and three-year points each moved five basis points wider and the four-, five- and ten-year points six, leaving the NC5 reference at BBSW plus 127. Against the January cycle tightness of 115 the five-year point is now 12bps wider, though it remains 11bps inside the level of a year ago.

The uniformity is the point. A parallel shift of this shape is the signature of an indigestion trade, meaning too much paper in too short a window, rather than a change in how the market prices subordination. Had the market been repricing bank capital risk the move would have steepened, with the long end widening disproportionately. The market took A\$3.55 billion of Tier 2 and A\$5.5 billion of Alphabet inside three weeks, more than A\$9 billion, and gave back six basis points at the NC5 point. That is not a market under stress.

AT1 Hybrids outperformed everything

The AT1 complex materially outperformed Tier 2 through August. The Suncorp and QBE perpetuals now trade 45 to 50bps tighter than their May pricing. Over the same window A\$ NC5 Tier 2 is three basis points wider. That is close to a 50bps relative move between two instruments on the same issuers' capital stacks.

Listed AT1's were remarkably quiet in August, the average traded margin for the major bank hybrids being near 160bps for the majority of the month and finishing at 1.66%. Shrinkage of the sector is slow for the remainder of the year, with only one issue due to be paid out, the \$1.18bn CBAPJ in late October. This should keep hybrid margins firm even if a bout of equity market volatility arises. The issue of replacement products has also slowed with recent offerings from listed providers Real Asset Management and Realm Asset Management preferring to issue in over-the-counter (OTC) format rather than listed. Their two issues have been relatively small indicating the wholesale market does not hold much appetite for listed style products. In fact, the wholesale buyers were mainly financial planners that can hold OTC bonds.

These comments reflect the Manager's current views as at the date of this report. These views are subject to change and are not guarantees of future performance.

Performance table notes

1. Returns are expressed as percentages.
2. Returns for periods of less than one year are not annualised. Returns for periods of one year or longer are annualised.
3. Fund total returns are calculated using exit prices, are net of fees and costs, and assume that distributions are reinvested. They include realised and unrealised gains and losses.
4. "Fund total return (incl. franking credits)" incorporates the value of franking credits attributable to the Fund's distributions. Except for the specific inclusion of franking credits in the identified rows, returns do not reflect the tax consequences applicable to any particular investor.
5. An investor's ability to use franking credits depends on the investor's tax circumstances and satisfaction of applicable eligibility requirements. The value attributed to franking credits may not be available to every investor.
6. Distribution return represents distributions paid or payable during the period, including net realised gains. It is not the same as the Fund's total investment return and may exceed total return where the Fund's unit price has declined over the period.
7. Franking credit uplift is shown as the difference between the inclusive and exclusive figures presented. Figures may not add precisely due to rounding.
8. The Fund commenced on 25 October 2004. Arculus commenced as investment manager on 1 July 2015. Accordingly, since-inception performance includes periods during which the Fund was managed by a previous investment manager.
9. Past performance is not a reliable indicator of future performance.

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